

performance using the measure rule. Price reaches the target 60% of the time when you add the height of the pattern to the top of it.)

“You might not believe this, but I really didn't care about the answer. I wanted to hold the stock for the long term, but having that background info is reassuring.”

Scott is also a fan of trendlines. For entry, he drew a trendline skirting the peaks going down to turn D. The day after D, the stock closed above the line, signaling a buy (with the belief that the bearish bat had found a bottom at D).

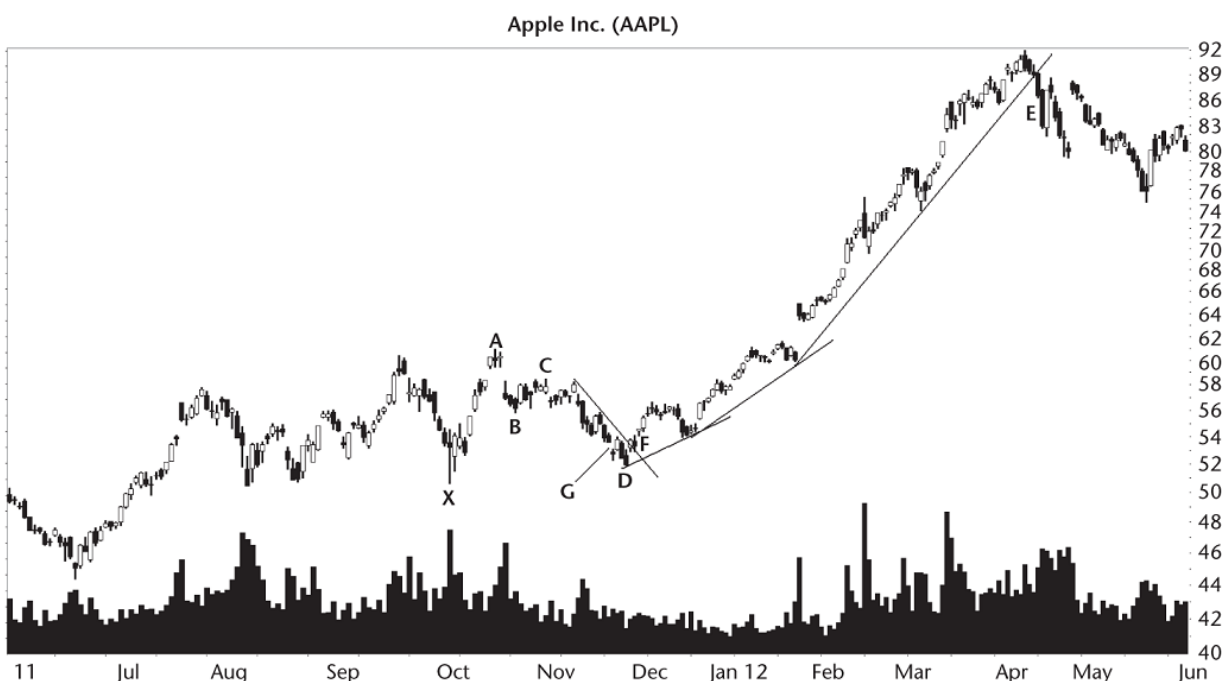


Figure 5.4 This is a sample trade using a bullish bat.

“Here's where I got creative. I used the bullish AB=CD chart pattern to find that turn D was overdue.” It predicted a bottom priced at 53.34, located in the area gap at G, so that gave Scott more confidence that the stock had put in a bottom at D. Regardless, he bought the stock at the open the next day and received a fill at 53.66.

“I placed a stop below the low at D, and below 52.00. Know why?” Before I could answer, he said, “Because at 51.83 it's seven cents below D and it avoids the round number 52. That's where others might place their trades.”